



Financial Strategy AXP 35802-93: Introduction

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Who am I?

- Swede, from Stockholm
- Education
 - PhD, Carnegie Mellon University; MSc, Stockholm School of Economics
- Positions:
 - Professor of Finance and Private Equity, SSE, 2005-
 - Associate Professor of Finance at Chicago Booth 1997-2005
 - Adjunct/visiting professor at Booth 2005-present
- Research in corporate finance
 - VC & private equity, climate finance, bankruptcy, corporate governance
 - Current projects: decarbonizing transports; business angels; drivers of PE
- Other:
 - Board member: AP4, Nasdaq Clearing, Swedish Royal Academy of Sciences
 - Member of the Economics prize committee in memory of A. Nobel
- Wife+4 kids+2 grandkids, jazz piano, cooking, football (Liverpool & AIK)
- Who are you?
 - Fill out info sheet and upload on Canvas.

Course objectives:

1. Apply finance tools to real-world situations.
 - “Applied 35801”.
 - Add new tools to your corporate finance toolbox
2. Understand relation between financial and operating strategy.
 - Real world $\neq$ Miller & Modigliani world
 - » imperfect information, incentive problems, mkt frictions
 - Operating and financial policies interdependent



Key insight / message

- Liability side / capital structure and asset side / valuation are interrelated
 - Optimal financial strategy depends on the firm's business and its "real" operating strategy
 - Operating strategies have to be consistent with financial constraints and realities
 - A recurring theme throughout the course
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Elements of course

■ PART 1: CAPITAL STRUCTURE

- Structuring the liability side of the balance sheet
- Diageo, MCI, FANUC

■ Questions/issues:

- What should target capital structure be?
- What should target payout policy be?
- How do we implement this optimal policy?
- Use of various financial instruments / techniques
 - » Convertibles
 - » Leveraged recapitalizations
 - » Supply chain finance

■ PART 2: VALUATION

- Structuring the asset side of the balance sheet
- Molycorp, Roche, Thule, Lyondell

■ Questions/issues:

- Should we invest / make a deal?
- How should we structure the deal?
- Applications:
 - » Dilution from equity issues
 - » Merger synergies
 - » Private equity buyouts
 - » Bankruptcy and restructuring

COURSE MECHANICS

- Most of the class time will be used for case discussion
 - 7 cases over 9 classes.
 - Will give a few lectures on key concepts
- Case Preparation is key for this course
 - Read questions and case carefully.
 - Play around with assumptions, numbers
 - Use common sense
 - » No “right” solution, or “cookbook” approach
 - » Not meant to be easy, but hopefully rewarding.

MEMOS

- One for each case.
- Memos should answer:
 - What is the problem?
 - What should we do to solve it?
- Up to two pages of text.
 - Attach any exhibits / calculations
- Helps and forces you to organize thoughts.
 - Preparation for class discussion
 - Practice for midterm and final exams

Memos - 2

- Memos are 25% of the grade.
 - Graded on a group basis
 - Emphasis is put on the depth and coherence of the analysis, rather than reaching the “right” answer
 - Main purpose is to help you prepare for the case discussion in class
 - Also, will be a good preparation for the individual mid-term and final exam cases

CLASS PARTICIPATION

- 20% of final grade (individual)
- Can you miss class?
 - At your peril => attendance is critical.
 - I will allow you to miss one class without penalizing the grade if you have a reasonable explanation and e-mail me in advance
- Can non-financial types succeed?
 - Yes. Common sense is the key.
- Zoom attendance:
 - Only under special circumstances and upon previous approval from me

Class participation tips

- Raise your hand and I will call on you
 - Bring your name cards
- Listen to others and build on their comments
- Questions are also participation
 - Makes me aware of mistakes and unclear points
- If you aim to make one or two comments per class you will do great

Midterm exam

- ❑ 15% of your grade.
- ❑ In-class case analysis:
 - Similar to cases discussed in class, but shorter
 - 3 hours to solve it
 - Involves coming up with a capital structure policy
 - Simpler - can use a calculator
 - Can bring a 2-sided "cheat sheet"
- ❑ Sample questions:
 - I will post a few sample questions on Chalk, which the TA will cover in the Friday review session

Final exam

- ❑ 40% of your grade.
- ❑ In-class case analysis:
 - Similar to cases discussed in class, but shorter
 - 4 hours to solve it
 - Can bring a 2-sided "cheat sheet"
 - Case involves valuation and cap. structure issues
 - Simpler valuations - can use a calculator
 - Again, TA session week 2 will cover some sample valuation questions of the type you can expect in the final exam

Readings

- Literature:
 - Lecture notes and handouts
 - Course packet
 - Berk & DeMarzo
- Primarily meant to support your case analysis
 - You will not be tested on the readings explicitly
 - Everything I want you to know is covered in the hand-outs
- In addition, I will post on Canvas
 - Case wrap-ups
 - Spreadsheet calculations.
 - All hand-outs from class

Policies

❑ Honor Code:

- ❑ Expected to follow it.
- ❑ Expected to sign a pledge on final exam and memos.

❑ AI Policy:

- ❑ OK to use AI tools for write-ups as long as:
 1. You use it as a supporting tool, not a substitute, for your analysis
 2. You reference your use properly (see syllabus)

TAs and reviews:

- To make an appointment with me, e-mail me at per.stromberg@hhs.se
- TA is available to assist:
 - Peter Aleksziew (petera@uchicago.edu)
 - Homework assistance
 - Review sessions
 - Midterm and final preps



■ QUESTIONS?

